

# Pricing Your Craft: The Honest Guide

## The Problem With Craft Pricing

Most craft makers underprice. They price based on what feels "fair" or what they'd personally pay, rather than what the work actually costs. The result is either unsustainable income or the slow accumulation of resentment. This guide helps you price honestly.

## The True Cost Formula

**Total cost = Materials + Time + Overheads + Profit margin**

**Materials:** The exact cost of materials used in one item (including packaging, labels, thread).

**Time:** Hours to make × your hourly rate. Your hourly rate should be at least minimum wage — ideally £15-25/hr for skilled craft work.

**Overheads:** Divide your monthly costs (studio, tools, subscriptions, market fees) by the number of items you make per month.

**Profit margin:** Add 20-30% on top of your costs. This funds reinvestment, bad months, and business growth.

## Worked Example

Handmade ceramic mug:

Materials: £3.50 (clay, glaze, kiln electric)

Time: 45 mins × £18/hr = £13.50

Overheads: £2.00

Cost total: £19.00

+ 25% profit: £4.75

**Minimum price: £23.75** → sell at £28-32

## Wholesale Pricing

Wholesale = your retail price × 0.5 (roughly). For wholesale to work, your retail price must be high enough that half still covers costs and leaves profit. If wholesale makes you lose money, your retail price is too low.

## When to Raise Your Prices

- You're not making minimum wage from your hours
- Material or overhead costs have risen
- Your skill and reputation have grown

## **Responding to "That's Too Expensive"**

You never have to justify your prices. "This is the price for this piece" is a complete sentence. If someone can't afford it, that's okay — they're not your customer right now.